father though less energetic. King Shahu died in 1749 and by his will left the management of state affairs in the Peshwa's hands. The office of the Peshwa had already become hereditary and the Peshwa was the *de facto* ruler of the state. Now he became the official head of the administration and, as a symbol of this fact, shifted the government to Poona, his headquarters.

Balaji Baji Rao followed in the footsteps of his father and further extended the empire in different directions taking Maratha power to its height. Maratha armies now overran the whole of India. Maratha control over Malwa, Gujarat and Bundelkhand was consolidated. Bengal was repeatedly invaded and, in 1751, the Bengal Nawab had to cede Orissa. In the South, the state of Mysore and other minor principalities were forced to pay tribute. In 1760, the Nizam of Hyderabad was defeated at Udgir and compelled to cede vast territories yielding an annual revenue of Rs 62 lakh. In the north, the Marathas soon became the power behind the Mughal throne. Marching through the Gangetic Doab and Rajputana they reached Delhi where, in 1752, they helped Imad-ul-Mulk to become the *wazir*. The new *wazir* soon became a puppet in their hands. From Delhi they turned to the Punjab and soon brought it under control after expelling the agent of Ahmad Shah Abdali. This brought them into conflict with the doughty warrior-king of Afghanistan, who once again marched into India to settle accounts with the Maratha power.

A major conflict for mastery over north India now began. Ahmad Shah Abdali soon formed an alliance with Najib-ud-Daulah of Rohilkhand and Shuja-ud-Daulah of Awadh, both of whom had suffered at the hands of the Maratha *sardars.* Recognising the great importance of the coming struggle, the Peshwa despatched a powerful army to the north under the nominal command of his minor son, the actual command being in the hands of his cousin Sadashiv Rao Bhau. An important arm of this force was a contingent of European-style infantry and artillery commanded by Ibrahim Khan Gardi. The Marathas now tried to find allies among the northern powers. But their earlier behaviour and political ambitions had antagonised all these powers. They had interfered in the internal affairs of the Rajputana